

Economic relations are improving rapidly



INTALKWITH
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Japan Chamber of Commerce and Industry (JCCI) in India is at the forefront of expanding trade and business relations between the two countries. JCCI president Masayuki Yamamoto, the chairman and managing director of ITOCHU India Pvt. Ltd., spells out -- in this interview -- the agenda to further deepen economic relations.

■ **What further steps do the Governments of both the countries need to take deepen economic, trade and business relations between the two countries?**

Economic relations between Japan and India are improving rapidly. JCCI membership has increased from 100 companies in 2004 to 180 companies at present. More than 500 Japanese companies are today present in India. Japan now looks at India as a big market. India is suitable as a manufacturing location as well as a market.

Indian government is improving infrastructure gradually and should speed up this process. Some Japan companies and businessmen know about India but people in general in Japan are not very much aware about the country. Japanese and Indian governments can increase awareness among people. They have taken some steps in the last few years.

The Indian Government should also simplify visa issues. It is difficult for Japanese working in India to extend their visas. It takes a long time.

■ **What benefits can Japan and India derive from the Economic Partnership Agreement?**

EPA is still under negotiation. Japan is an ageing community. It is necessary for Japan to open its doors for Indian people to work there. The Indian government is requesting Japanese government to open up more working opportunities for Indians in Japan. It will not only be good for Indians but also for Japan in the long

run. We find that Indians working and living in India are generally law abiding. Information Technology (IT) is one of the problems in Japan. So EPA should also provide for more Indians to work in Japan in the IT sector. EPA will provide lot of opportunities for businesses of both the countries.

■ **Trade and investment between Japan and India is still way behind that of Japan and China. What steps should be taken to bring more Japanese investment into India, especially in the small and medium enterprise (SME) segment?**

It will not be fair to compare China and India. Japanese investment into India has increased over the last few years. Initiatives like tie-ups between JETRO and RIICO to set up an exclusive Japanese investment zone are a good example. There are business opportunities in India but SME companies from Japan do not know much about India. Language, knowledge about India and food are hurdles for smaller Japanese companies to set up businesses in India. Japanese SME companies think there are still a lot of hardships to doing business in India. Several Japanese SME companies have visited India to explore business opportunities but not many have set up offices or businesses in India.

But if these companies understand India and the opportunities it offers, they must come and do business because opportunities in China and Japan are not as much. Japanese and Indian governments need to play a greater role in bringing together SME companies from both the countries.

■ **What business opportunities are there for Indian companies in Japan?**

Some Indian companies have acquired stakes in Japanese companies in the last few years. Pharmaceutical sector is an example of this. It is not easy to start a new pharmaceutical company in Japan so acquisition is a good route to take. Information technology is another sector where Indian companies can play a big role. Many well known Indian companies are already present in Japan but their market share is still very low.

■ **Do you think that taxation rates in general and bureaucratic red-tape is still a hurdle to doing business in India? If yes, what specific changes would you like to see to attract more investment and business from Japan?**

India is gradually reducing taxes and is also simplifying tax laws, which is good. Foreign companies feel that bureaucratic hurdles are still there in India. The bureaucracy of state governments is still a hurdle for companies. Taxation rates should be reduced further. Licenses for doing business and visa rules need to be made easier and should be issued quickly.